By applying this strategy, we have in a way insured ourselves from the expected loss for a specific period of time. We may protect ourselves again by entering this synthetic put as needed. Essentially, limited losses with call. The profit potential remains unlimited whereas the losses are limited to the premium amount paid.

WE MAY BE SHORT ON STOCK OR FUTURES AND LONG ON CALL ATM OR OTM AND THIS WILL CREATE OUR SYNTHETIC PUT. IN INDIA, A SHORT POSITION ON CASH IS NOT ALLOWED BUT ONE MAY DO SO USING FUTURES.

ASIAN PAINTS

Let us discuss another example of synthetic put.
A man sells 100 shares of Asian Paints at ₹3000 with the expectation that the price will decrease. Therefore, he hedges his position by buying a call option at a premium of ₹150 per share at a strike price of ₹3250 (say).